COMMON SIZE BALANCE SHEETS AND INCOME STATEMENTS

Learning Outcome

- describe tools and techniques used in financial analysis, including their uses and limitations

Common-size analysis involves expressing financial data, including entire financial statements, in relation to a single financial statement item, or base. Items used most frequently as the bases are total assets or revenue. In essence, common-size analysis creates a ratio between every financial statement item and the base item. Common-size analysis was demonstrated in earlier modules for the income statement, balance sheet, and cash flow statement. In this lesson, we present common-size analysis of financial statements in greater detail and include further discussion of their interpretation.

Common-Size Analysis of the Balance Sheet A vertical common-size balance sheet, prepared by dividing each item on the balance sheet by the same period's total assets and expressing the results as percentages, highlights the composition of the balance sheet. What is the mix of assets being used? How is the company financing itself? How does one company's balance sheet composition compare with that of peer companies, and what are the reasons for any differences? A horizontal common-size balance sheet, prepared by computing the increase or decrease in percentage terms of each balance sheet item from the prior year or prepared by dividing the quantity of each item by a base year quantity of the item, highlights changes in items. These changes can be compared to expectations.

Exhibit 6 presents a vertical common-size (partial) balance sheet for a hypothetical company in two time periods. In this example, receivables have increased from 35 percent to 57 percent of total assets and the ratio has increased by 63 percent from Period 1 to Period 2. What are possible reasons for such an increase? The increase might indicate that the company is making more of its sales on a credit basis rather than a cash basis, perhaps in response to some action taken by a competitor. Alternatively, the increase in receivables as a percentage of assets may have occurred because of a change in another current asset category, for example, a decrease in the level of inventory; the analyst would then need to investigate why that asset category has changed. Another possible reason for the increase in receivables as a percentage of assets is that the company has lowered its credit standards, relaxed its collection procedures, or adopted more aggressive revenue recognition policies. The analyst can turn to other comparisons and ratios (e.g., comparing the rate of growth in accounts receivable with the rate of growth in sales) to help determine which explanation is most likely.

Exhibit 6:

Vertical Common-Size (Partial) Balance Sheet for a Hypothetical Company

	Period 1 Percent of Total Assets	Period 2 Percent of Total Assets
Cash	25	15
Receivables	35	57
Inventory	35	20
Fixed assets, net of depreciation	5	8

Common-Size Analysis of the Income Statement

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A vertical common-size income statement divides each income statement item by revenue, or sometimes by total assets (especially in the case of financial institutions). If there are multiple revenue sources, a decomposition of revenue in percentage terms is useful. Exhibit 7 presents a hypothetical company's vertical common-size income statement in two time periods. Revenue is separated into the company's four services, each shown as a percentage of total revenue.

In this example, revenues from Service A have become a far greater percentage of the company's total revenue (30 percent in Period 1 and 45 percent in Period 2). What are possible reasons for and implications of this change in business mix? Did the company make a strategic decision to sell more of Service A, perhaps because it is more profitable? Apparently not, because the company's earnings before interest, taxes, depreciation, and amortization (EBITDA) declined from 53 percent of sales to 45 percent, so other possible explanations should be examined. In addition, we note from the composition of operating expenses that the main reason for this decline in profitability is that salaries and employee benefits have increased from 15 percent to 25 percent of total revenue. Are more highly compensated employees required for Service A? Were higher training costs incurred to increase revenues from Service A? If the analyst wants to predict future performance, the causes of these changes must be understood.

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In addition, Exhibit 7 shows that the company's income tax as a percentage of sales has declined dramatically (from 15 percent to 8 percent). Furthermore, taxes as a percentage of earnings before tax (EBT) (the effective tax rate, which is usually the more relevant comparison), have decreased from 36 percent (= 15/42) to 24 percent (= 8/34). Is Service A, which in Period 2 is a greater percentage of total revenue, provided in a jurisdiction with lower tax rates? If not, what is the explanation for the change in effective tax rate?

The observations based on Exhibit 7 summarize the issues that can be raised through analysis of the vertical common-size income statement.

Exhibit 7:

Vertical Common-Size Income Statement for Hypothetical Company

	Period 1 Percent of Total Revenue	Period 2 Percent of Total Revenue
Revenue source: Service A	30	45
Revenue source: Service B	23	20
Revenue source: Service C	30	30
Revenue source: Service D	17	5
Total revenue	**100**	**100**
Operating expenses (excluding depreciation)		
Salaries and employee benefits	15	25
Administrative expenses	22	20
Rent expense	10	10
EBITDA	**53**	**45**
Depreciation and amortization	4	4
EBIT	**49**	**41**
Interest paid	7	7
EBT	**42**	**34**
Income tax provision	15	8
Net income	**27**	**26**

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